

hence ridiculously inadequate to justify the purchase of a noncumulative industrial preferred stock. Between the years 1922 and 1927, the following coverage was shown for interest charges and preferred dividends combined:

1922	1.20 times
1923	1.18 times
1924	1.32 times
1925	1.79 times
1926	1.00 times
1927	1.01 times

In 1928 the stock sold as high as 109. During that year the company sustained an enormous loss, and the preferred dividend was discontinued. Despite the miserable showing and the absence of any dividend, the issue actually sold at 92 $\frac{1}{2}$ in 1929. (In 1932 it sold at 3 $\frac{1}{8}$).¹

Vulnerability of Unseasoned Issues. Turning to unseasoned issues, we may point out that these belong almost entirely to the industrial field. The element of seasoning plays a very small part as between the various senior issues of the railroads; and in the public-utility group proper (*i.e.*, electric, manufactured gas, telephone and water companies) price variations will be found to follow the statistical showing fairly closely, without being strongly influenced by the factor of popularity or familiarity—except in the case of very small concerns.

Industrial financing has brought into the market a continuous stream of bond and preferred stock issues of companies new to the investment list. Investors have been persuaded to buy these offerings largely through the appeal of a yield moderately higher than the standard rate for seasoned securities of comparable grade. If the earning power is maintained uninterruptedly after issuance, the new security naturally proves a satisfactory commitment. But any adverse development will ordinarily induce a severe decline in the market price. This vulnerability of unseasoned issues gives rise to the practical conclusion that it is unwise to buy a *new* industrial bond or preferred stock for straight investment.

¹ A more recent example of the same kind is presented by Curtis Publishing 7% Preferred, which sold at 114 in 1936 and 109 $\frac{1}{2}$ in 1937, despite an exceedingly inadequate showing of earnings (and tangible assets). The high price of many railroad bonds in those years, notwithstanding their unsatisfactory earnings exhibit, illustrates this point more broadly.